



## Chapter 5: Gucci's Code of Ethics



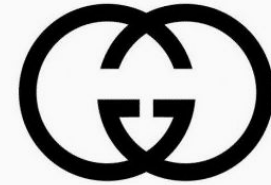
Deven Patel, Marlenny Gonzalez Asuncion, Pari Patel, Jayden Forero, Joseph Rafferty,  
and Zachary Pyskaty

# Introduction

Company: Gucci Italian Luxury fashion company

- Has around 487 stores around the world
- Employs around 17,000 people
- 95% of their suppliers are based in Italy; only 5% are located in other countries
- Main issue: How can a multinational company ensure its ethical standards are being enforced in its global operations?

GUCCI



# Gucci: Company & Ethics Background

- Gucci has maintained a formal Code of Ethics since 2005
- The code prohibits corruption, forced labor, discrimination, and harassment
- Gucci uses supplier training, audits, corrective-action plans, and follow-up audits to promote compliance

# The Shenzhen Incident

- In 2011, five former employees at Gucci's Shenzhen store complained about harsh working conditions
- Allegations included 12-hour workdays, unpaid overtime, and restrictions on water and restroom use
- A former manager claimed employee mistreatment extended beyond one store
- The case linked some issues to China's labor-dispatch system, where workers were employed through a separate leasing company
- Gucci investigated and ultimately replaced the store manager and assistant manager

# Central Problem

- Can unethical behavior be prevented with Gucci's Code of Ethics?
- Implementation ≠ enforced
  - Shenzhen incident —> reports from former employees
    - 12-hour workdays
    - Unpaid extra hours
    - Countless Workplace rules that are considered inhumane
- Gucci orders investigation to discover truth
- Central Problem: How can Gucci ensure its Code of Ethics is administered and obeyed in its global operations?



# Globalization: Gucci as a Multinational Enterprise

## Globalization of Markets

487 company-owned stores worldwide, €9.73B in sales

*One global luxury brand serving customers in many countries, including China*

## Globalization of Production

Manufacturing contracted out, but 95% of suppliers are in Italy

*Unlike rivals that chase low-cost labor in Southeast Asia*

## Globalization Debate: Labor & Environment

**Critics:** firms move production to countries with weak labor and environmental rules.

**Gucci:** keeps production in a highly regulated country and sets supply-chain CO2 targets, supporting the view that standards rise with progress.

**But:** coordinating a globally dispersed business is hard. Shenzhen went wrong in retail, far from Italian HQ.

# National Differences in Culture: One Code, Different Norms

## Hofstede's Dimensions

Scores 0–100

### Power Distance



### Individualism



*High power distance + collectivism: staff less likely to push back on a manager's rules*

## The Iceberg

Gucci's written code sits above the water. The store's everyday norms and values sat below it, and those shaped behavior.

## Values & Norms

Gucci treats worker dignity as a more (non-negotiable), not a folkway that changes by country.

## Cross-Cultural Literacy

Gucci needs to understand local culture without falling into cultural relativism or ethnocentrism.

# Political Economy & Legal Systems: Italy vs. China

## Italy (HQ + suppliers)

## China (Shenzhen store)

|                  |                             |                                    |
|------------------|-----------------------------|------------------------------------|
| Political System | Democracy                   | One-party state                    |
| Economic System  | Market-based (EU)           | Mixed, heavy state role            |
| Labor Rules      | Strong EU labor protections | Labor dispatch legal + widely used |

### Legal Risk

Under labor dispatch, workers' contracts were with a leasing company, not Gucci. The leasing firm set the terms, so Gucci had less legal control over how staff were treated.

### Corruption & Anti-Bribery Laws

The FCPA and OECD Convention allow routine facilitating payments. Gucci's code bans them, holding itself above the legal minimum everywhere it operates.



# Strengths of Gucci's Code of Ethics

- Gucci's code of ethics sets transparent standard for its employees & suppliers.
- The code covers labor rights, discrimination, corruption, & harassment.
- Gucci's code even includes environmental sustainability.
- Corrective Action & Audits.
- Gucci's code of ethics is strong; however, only if it is strictly enforced by headquarters.



# The Shenzhen Incident

- It is difficult to enforce global codes on a local level.
- There is less control by a company when using third-party employment.
- Gucci's standards were violated by the local management.
- While it was a failure in the short-term, it meant that the long-term system worked.



# Gucci versus Nike

- 95% of Gucci's supplier's are located in Italy.
  - The supplier network is geographically closer.
- Nike heavily relies on lower-cost suppliers across the world through subcontracting.
  - South-East Asia
  - More suppliers and more distance apart makes it more difficult for Nike to monitor its suppliers.
- Nike needs to observe its suppliers more closely.



# Gucci's Code of Ethics and Solving Ethical Dilemmas

- Gucci's code provides guidance, but it cannot solve every ethical dilemma because some situations involve competing values and negative consequences no matter which option is chosen.
- Management should evaluate stakeholders, consequences, and company values before deciding which option is the most ethically responsible.
- Gucci should use its code as a framework, not a substitute for judgment, and consult ethics/compliance leaders when the best course of action is unclear.

# Multiple Perspectives & Competing Explanations

## Contractor

- Efficiency
- Employee control

## Employees

- Fair treatment
- Proper working conditions

## Gucci

- Protect reputation
- Maintain ethics

## International factors

- Different workplace norms
- Different expectations

## Main Issue

Ethics Code vs. Actual enforcement

Key Solution : Oversight – Communication - Accountability

# Class Discussion

What would you do as Gucci's CEO?

- A. Investigate the employee leasing company
- B. Fire the managers responsible
- C. Look internally towards how each branch enforces their codes
- D. Create a stronger code of ethics

Would you respond in a different way?

# Recommendation : Strengthen Ethical Oversight

## Better Monitoring

- Review contractor practices
- Check that policies are followed

## Clear Communication

- Explain expectations
- Train managers and contractors

## Accountability

- Address violations quickly
- Hold contractors accountable

Goal : Make Gucci's ethical standards part of everyday operations – not just written rules.

# Key Takeaways

## Ethics Must Be Enforced

- A strong Code of Ethics only works when employees and contractors actually follow it

## Global Operations Create Challenges

- Different countries and workplace cultures can create conflicts with a company's standards

## Accountability Matters

- Gucci needs strong communication, monitoring, and accountability to maintain consistent ethical practices

## Final Message

“A Code of Ethics is only as strong as the company's commitment to enforcing it.”